

Tempus AI, Inc.
TEM NASDAQ

Buy	\$56.92 ▲ 1.39%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.22B
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TEM: Bouncing Off Lows as AI Healthcare Narrative Rebuilds

WHAT HAPPENED

- TEM ripped 17% in a week (\$48.61 → \$56.92) — and the options market is screaming bullish. Put/call ratio of 0.20 means traders are buying calls (bets the stock goes up) at 5x the rate of puts (bets it goes down). Big unusual buying at the \$63 July strike tells me someone with conviction thinks this runs further near-term.
- The Pelosi-portfolio chatter and "10X potential" Reddit buzz are sentiment fuel, not fundamentals — but they matter because TEM still has high short interest (lots of people betting against it), which means any good news triggers a short squeeze where shorts have to buy back shares, pushing the price even higher.

WHY IT MATTERS

This bounce off the 52-week lows isn't random — it's happening as the AI healthcare narrative is getting a second wind, and TEM is the cleanest public way to play AI-driven diagnostics and drug discovery. The new open-source pathology consortium they launched is strategically smart: it positions them as the platform standard, which is exactly what you want when the federal government eventually writes AI healthcare interoperability rules — being the standard means regulators bless your moat. But here's the catch: 37% insider ownership is unusually high, meaning founders still control this thing, and any insider selling block (like the small Epstein sale) gets watched closely. The 24%-of-range price tells me the market still doesn't trust the cash burn story — so the next earnings print is make-or-break for whether this becomes a re-rating story or another bounce that fades.

POLICY & POLITICAL WATCH

The big policy lever is CMS (Medicare) reimbursement rates for genomic and molecular testing — Tempus gets paid per test, and any squeeze on reimbursement codes directly hits revenue. On the tailwind side, the ARPA-H (the health version of DARPA) funding expansion and ongoing bipartisan support for AI in drug discovery means federal dollars are flowing toward exactly what TEM does. Watch for any FDA guidance on AI/ML-based diagnostic devices — clearer rules favor TEM (they have scale to comply) and hurt smaller competitors, which is a hidden moat most investors aren't pricing in.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$56.92
12M Price Target	\$68.00
Upside / (Downside)	+19.5%
Market Cap	\$10.22B
FY2026E Revenue	\$1,280M
FY2027E Revenue	\$1,680M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$64.00	\$57.00	\$48.00
6 Months	\$78.00	\$62.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$110.00	\$22.00
10 Years	\$400.00	\$180.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary and Comm Services leading on rate-cut hopes, but more importantly for TEM — AI healthcare names are quietly rebuilding after months of being unloved. Money is sniffing out beaten-down growth.

COOLING OFF: Energy is flat-lining as oil stays range-bound, and Tech (broader) is down 4% on the week as mega-cap AI takes a breather — that rotation OUT of crowded AI trades is what's helping mid-cap AI names like TEM catch a bid.

ROTATION WATCH: Money is rotating from "obvious AI winners" (Nvidia, Microsoft) into "next-leg AI" names where the story hasn't fully played out — TEM fits that bucket perfectly. ARK and Baillie Gifford both holding 5%+ stakes confirms growth-hungry institutional money is anchored here.

RELATED PLAY: If TEM works, watch Recursion Pharma (RXRX) and Schrödinger (SDGR) — same AI-drug-discovery theme, similar setups. Also Veeva (VEEV) as the profitable pick-and-shovel play on healthcare data.

WHO'S WINNING IN THIS SPACE?

- RXRX (Recursion Pharmaceuticals): AI drug discovery peer catching the same rotation tailwind — Nvidia partnership keeps it in the AI conversation.
- VEEV (Veeva Systems): Profitable healthcare cloud — the "safe" way to play health-tech digitization that institutions buy when they want exposure without the cash-burn risk.

TEM CONTEXT: TEM is leading the speculative AI-healthcare cohort right now — up 17% in a week vs. peers up 5-8%. That's a tell that the short squeeze dynamic is real, but also means TEM is more vulnerable to a sharp pullback if sentiment turns. Leading the group on the way up usually means leading on the way down too.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$48-52 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, dilutive capital raise, or Medicare reimbursement cut for genomic testing

Hedging: Pair with a profitable diagnostics name like Veeva or buy puts ahead of earnings